



*A webinar by Jay Chandran, a trader
with 10 years of experience in
day-trading Nifty and Bank Nifty
futures using Market Profile and
Price Action*



Market Profile

Contents

What we will learn in this webinar



Trading failure



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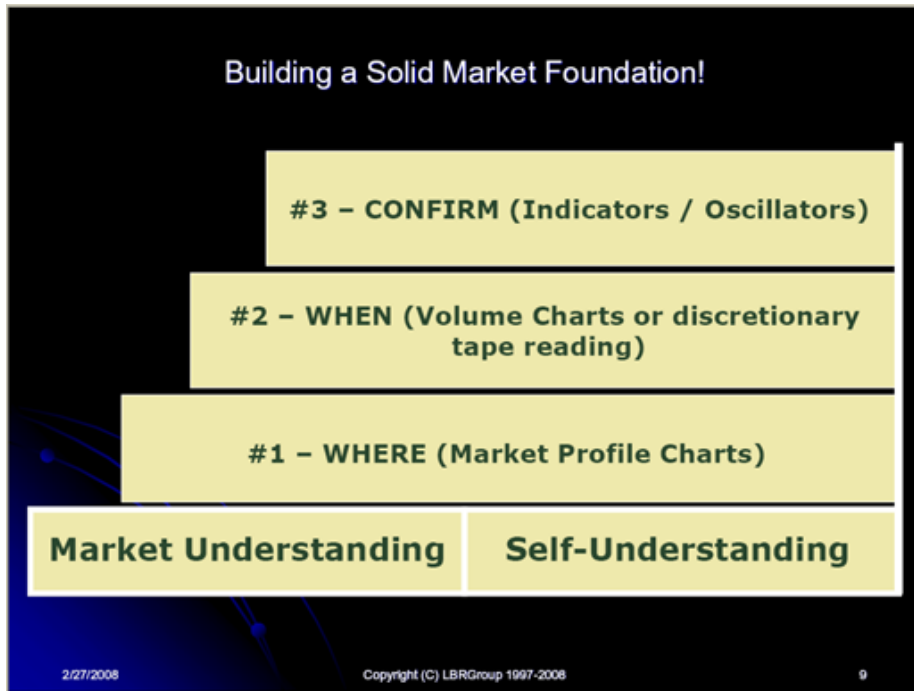
Risk management

Trading failure

- New traders begin with following TV, books and Twitter traders. But they are wrong sources.
- Following them is not wrong – but **blindly** following them is.
- New traders should design their own system based on learnings from books and expert traders.
- Most of you have followed me.
 - *But your learning will improve only if YOU practice trading, NOT when you follow me or my trades.*
- Traders fail because of lack of learning and practice.
- This webinar will provide you learning – practice is your responsibility.
- In summary, traders will avoid failure if they work hard!

Market Profile

- Every trader should make his own hallmark on one system and practice it – they should not jump from one system to another.
- Jay follows Price Action along with Market Profile and Volume Profile.
- Our webinar will focus more on Market Profile and Volume Profile – at the basic level.
- What is Market Profile.
 - ✈ *It is not a '**trading system**'. It is a window to observe the market's auction process*
- Since Market Profile and Volume Profile are not trading systems, we use Price Action along with them to design our trades.



Market Profile

- Market Profile is not a trading system. Use it along with your trading system.
- There is no greater indicator of what the market is doing than the market itself.
- It is a decision-making tool to support your system and signals.
- The market is simply a two-way auction process.
- Market Profile uses compares time (a constant) with price (a variable).

Market Profile

- We can observe how price is auctioned in the market through a Market Profile graphic.
- The graphic builds value zones that are used with respect to price to understand the auction process.
- The building block of Market Profile is a Time Price Opportunity (TPO).
- A TPO is building block of value and non-value zones in Market Profile.
- How is value defined? Price spending time is value.
 - ✈ *Price * Time = Value*
- Each TPO is designated with an alphabet for each half hour.

Market Profile

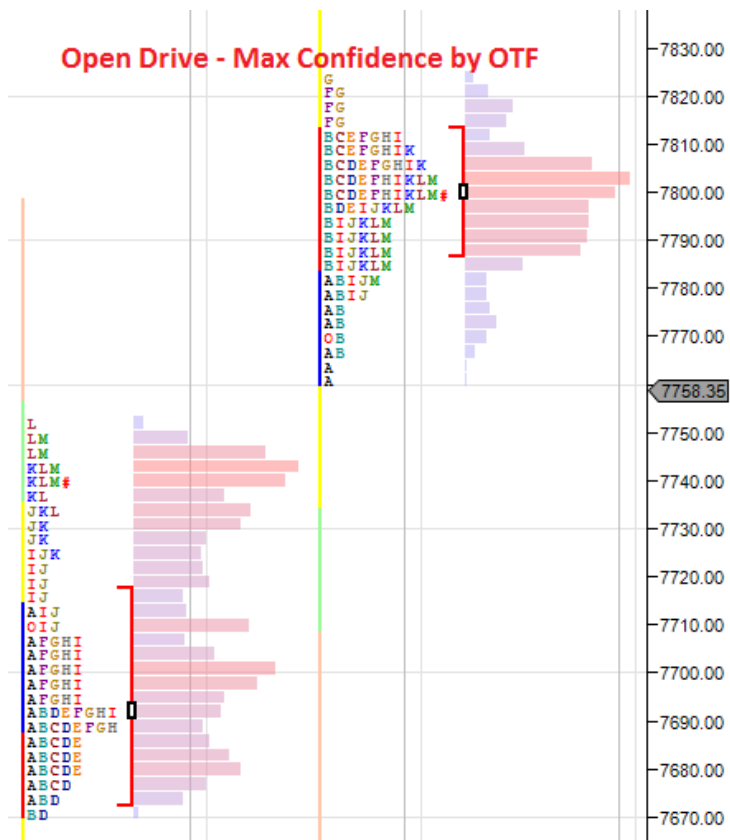
- A Market Profile graphic has two components.
- Value component – comprising a value area high (VAH), a point of control (POC) and a value area low (VAL).
- Non-value component – comprising the day's high, low, spikes and poor highs and lows.
- A POC is the place where the price has spent most of the time and where maximum business has occurred.
- A POC is like a magnet
 - ✈ *We will use POCs in our trading system*
- Value areas create balancing market, while non-value areas create trend market – in all time frames.

Market Profile

- Market Profile can be used for both intraday and swing trading.
- We will focus on open types for intraday trading
- We will focus on day types for swing trading
- On any day, price can open either:
 - Within yesterday's value area
 - Outside (above or below) yesterday's value area
- In Market Profile, we will observe both price and value together
 - 🚀 *Price should always be seen with respect to value*
- Open is within value area means, price is accepted in that value area. If not, price is rejected by that value area and a new value area is going to form.

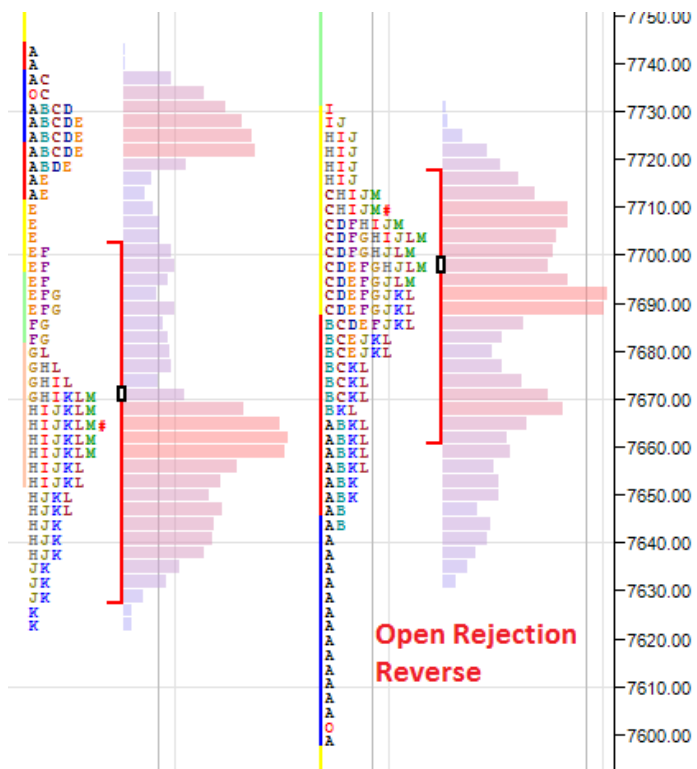
Market Profile – for intraday

- Now we will discuss **Opening Types**. There are four types:
 - Open drive
 - Open test drive
 - Open rejection reverse
 - Open auction
 - inside range
 - outside range
- We will focus on open types for intraday trading
- We will focus on day types for swing trading
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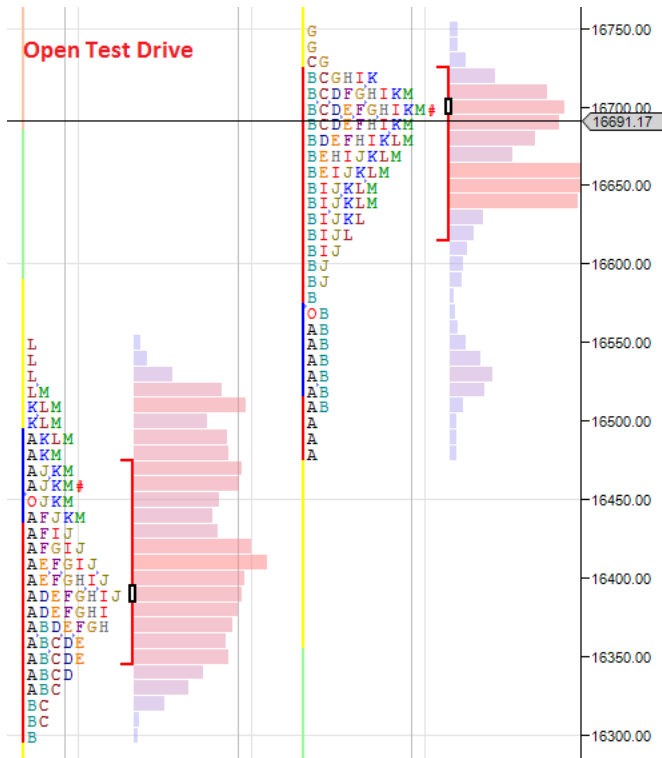
- Price opens above or below the previous day's value area
- Price proceeds unidirectional without any retracement.

Open drive



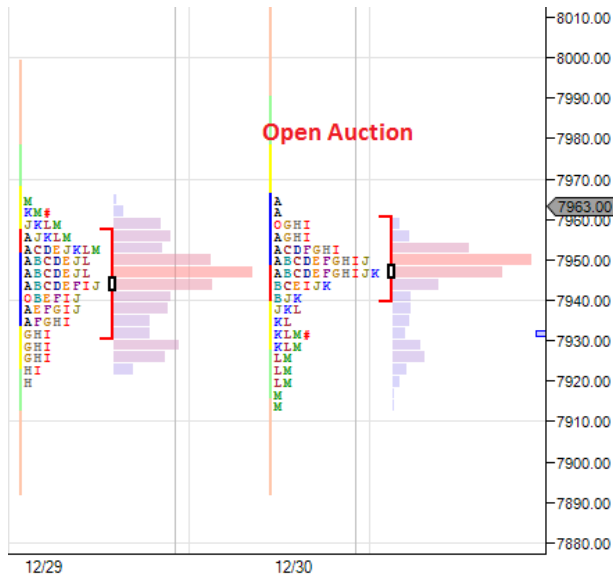
- Price opens outside the previous day's value area.
- The move outside value is rejected.
- Price reverses sharply back into the previous day's range.

Open rejection reverse



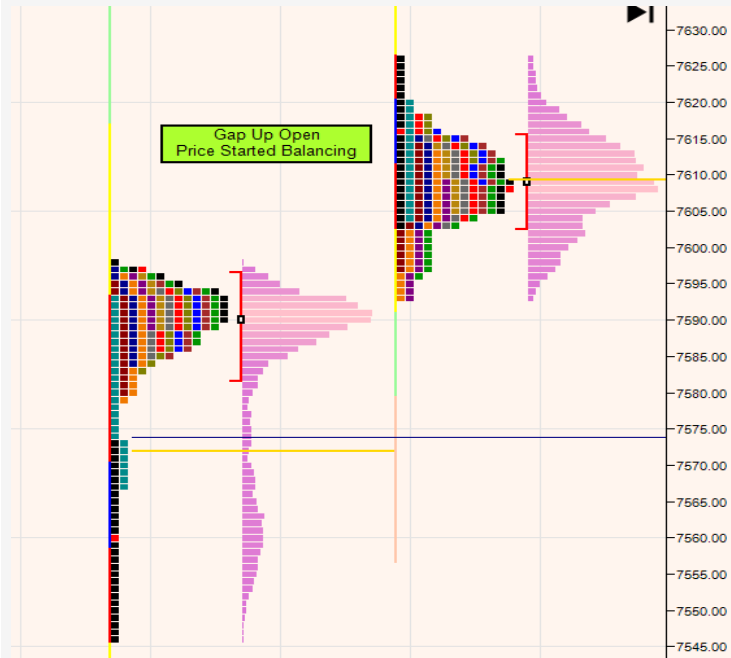
Open test drive

- After the open, price tests in one direction.
- Then it sharply turns around and drives in the opposite direction.



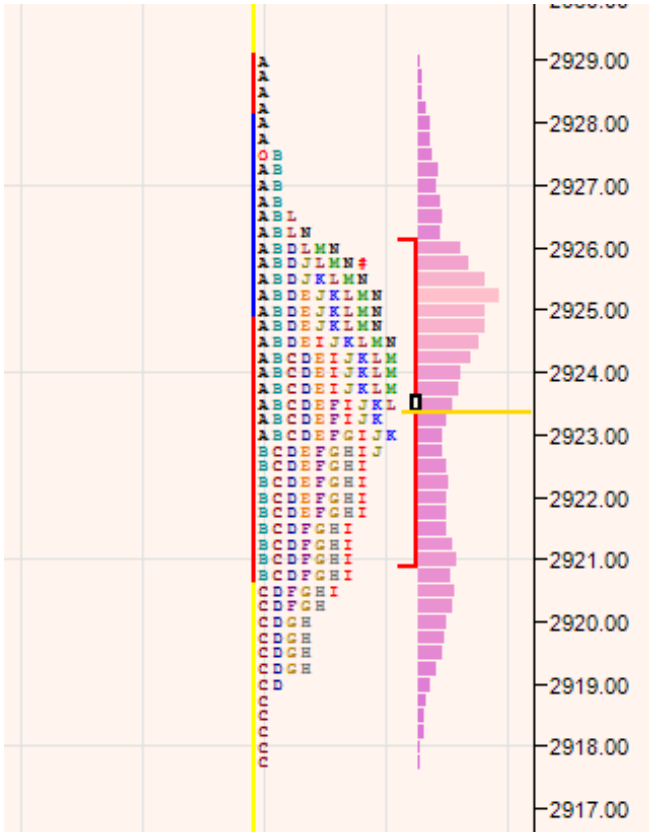
- Open auction in range (OAIR) – Price opens inside the previous day range and rotates around the opening.
- Open auction outside range (OAOR) – Price opens outside the previous day range and rotates around the opening.

Open auction



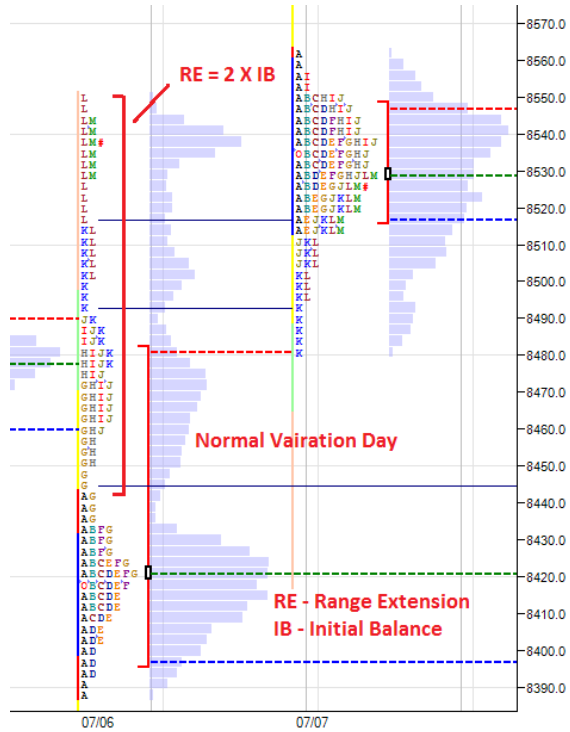
Market Profile – for swing

- Now we will discuss **Day Types**. There are four types:
 - Trend day
 - Non-trend day
 - Normal day
 - Normal variation day
 - Neutral day
- A day type can be either a trend day or a non-trend day.
- Trend days are driven by other timeframe players (OTFs)
- Non-trend days are driven by day timeframe players (DTFs)
- A day type is a good indication of how the day is set up for
 - *A day type tells us how the auction is evolving or morphing itself into a new day type*
- Profile shapes – such as P, b, B, D – can also be used for determining swing trades. But these are not day types.



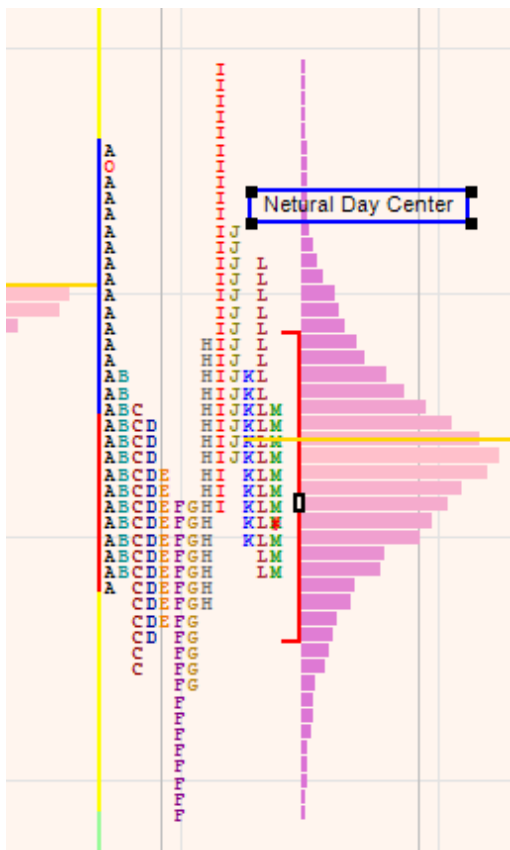
Normal day

- Initial balance is always wide.
- The profile curve is usually a bell-shaped distribution.
- No range extension above the initial balance – sometimes there might be small range extensions.
- Price trades in the value area – even if it trades outside, it will come back to the value area again.
- Price will look to trade in this zone for sometime.
- Happens mostly at Stage 3.



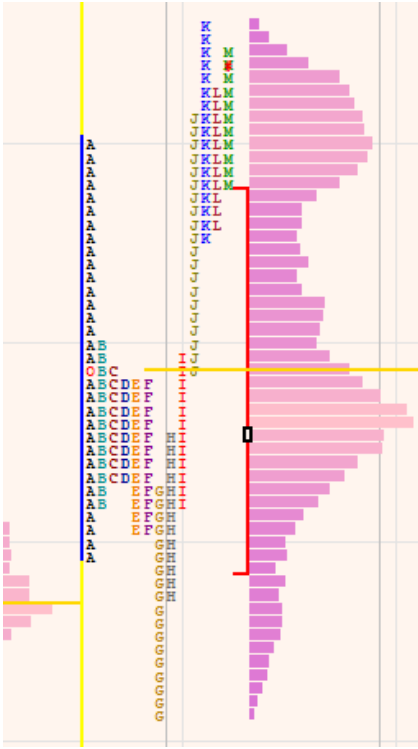
Normal variation day

- A normal-variation day does not have as wide a first-hour range as a normal day.
- The initial balance or base is upset as the other timeframe (OTF) players push the price out of the first-hour range.
- The rest of the day is spent forming a new value area outside of the early base.



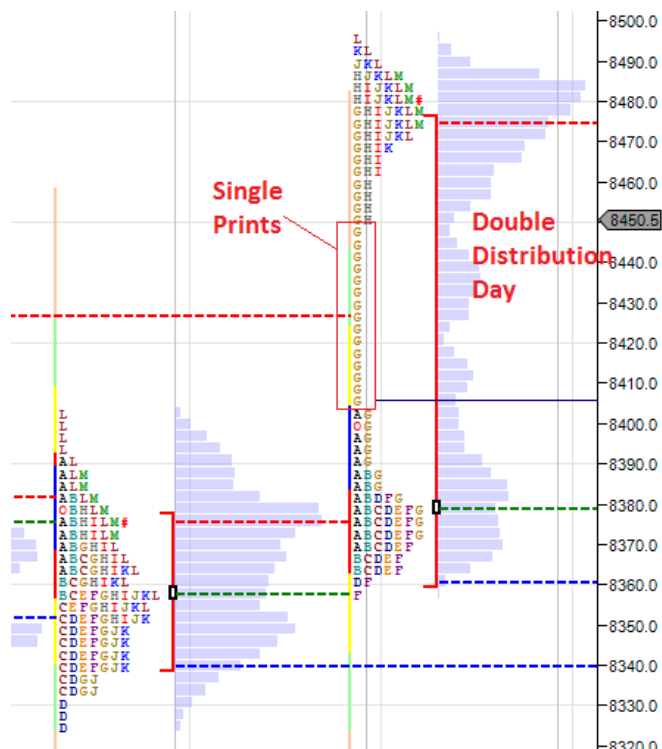
Neutral day

- The price tests on both sides of the initial balance.
- Price will continue to rotate.
- Both the buyers and sellers will be active, but no one is in control.
- This type of day tends to form a broad value area or trading range.
- A breakout from this range must be accompanied by an increase in volume to indicate that the OTF players have gained the control.



Neutral extreme day

- Price tests on both sides of the initial balance.
- It will continue to rotate and close at the extreme, near the day's high or low.
- Both buyers and sellers are active, but one will get control around the close.
- These days show the sign of a top or bottom in place.



Double distribution

- A double-distribution trend day lacks the strong opening drive.
- Instead, it will have a narrow initial balance.
- Single prints then move the market out of the initial balance.
- OTF players remain firmly in control.

Order flow — market activity types

- A market has two types of activity:
 - Responsive
 - Initiative
- Responsive activity happens **against** the flow.
- Initiative activity happens **along** with the flow.
- Responsive activity happens **against** the price move.
- Initiative activity happens **along** the price move.
- Both activities exist among buyers and sellers.
 - 🚀 *Responsive buyers and sellers repel price, initiative buyers and sellers continue the price*
- Both players come at key supports and resistances.
 - Responsive players accept supports/resistances, initiative players break them.

Order flow — bids & asks

- A market has two types of players:
 - Buyers
 - Sellers
- Buyer/seller orders with predetermined price are called limit orders
 - Limit buys are on left, limit sells are on right
- Buyer/seller orders with price determined during the action are called market orders
 - Market buys are on right, market sells are on left
- Limit order players are responsive players.
- Market order players are initiative players.
 - 🚀 *An order flow bar is read accordingly*
- An order flow graphic is used for timing your trade.

Volume Profile

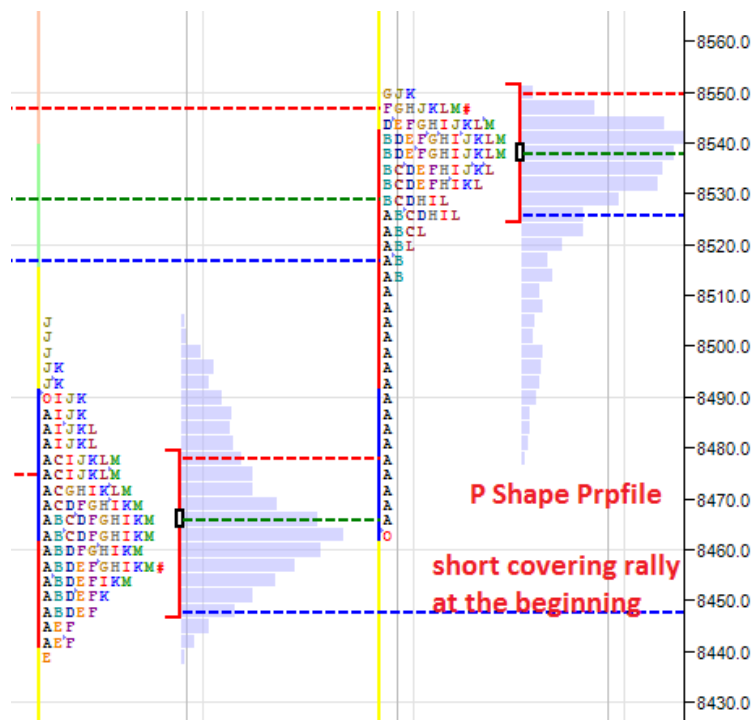
- In Market Profile, time is a key variable at a price.
- In Volume Profile, volume is a key variable at a price.
- A Volume Profile shows what is the volume at a particular price.
- Volume Profiles comprise two types of nodes:
 - High-volume node (HVN)
 - Low-volume node (LVN)
- We will use HVNs and LVNs to develop trade ideas
- Price is attracted by HVNs, while it is rejected by LVNs
 - ✈ *These alone don't give trade ideas, but should be used with price action.*
- Volume Profiles should be used in conjunction with Market Profile and Price Action. Each area should not become a trading system.

Volume Profile

- The VPOC is a POC that has not been revisited by price.
- VPOC acts as strong support / resistance going forward.
- VPOC can be used as a target.
- Often reversals happen at VPOC.

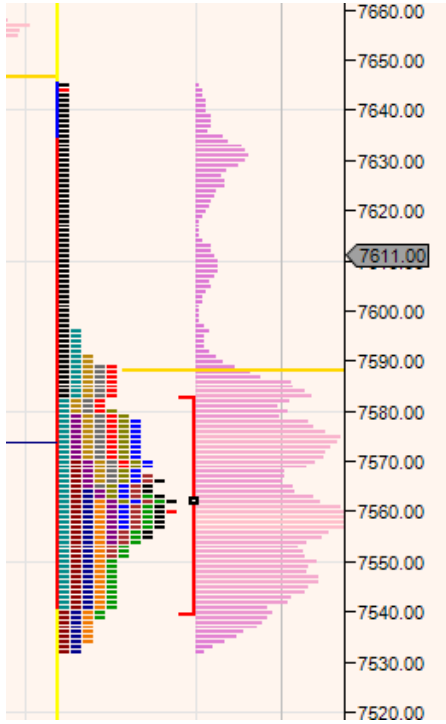
Volume Profile – using HVNs for trading

- In Volume Profile, HVNs play a pivotal role.
- How do we trade them?
- In a P-shaped profile, the stem offers the support, while in a b-shaped, the stem offers the resistance.
- If price is above HVN:
 - It will act as a support for the price, which will come from up to down.
- If price is below HVN:
 - It will act as a resistance for the price, which will come from down to up.
- HVNs are places where there was lot of volume earlier
 - 🚀 *These HVNs stand out on a profile chart – they are pretty long on days when there was huge volume at a price.*
- While HVNs are very important in Volume Profiles, understand the context before taking a trade.



Profile shapes – P

- Days when the profile shape is a 'P' [capital letter, P] are short-covering days.
- The letter A or B forms at the bottom, with single prints in the initial-balance range.
- Price opens at the bottom of the profile.
- Price rotations happen at the top of the profile (i.e., in the range-extension area).
- Indicates a short-covering rally.
- At times, such days could be a combination of old business exiting shorts and new money stepping in.



Profile shapes – b

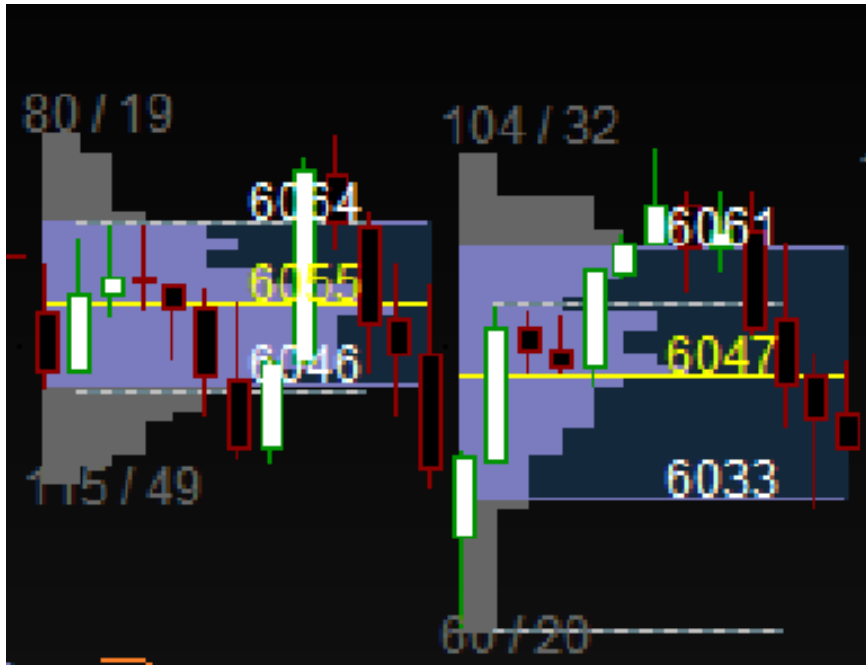
- Days with profiles shaped as 'b' [small letter, b] are long-liquidation days.
- The letter A or B forms at the top, with single prints in the initial-balance range.
- Price opens at the top of the profile.
- Price rotations happen at the bottom of the profile (i.e., in the range-extension area).
- Days like these indicate long liquidation – old money exiting their longs.

Price action – bars

- Price action is a nice background to use along with Market Profile and Volume Profile.
- Price action is a great tool that just observes price – and de-clutters your trading methodology from useless indicators
- In trading, price is supreme. We will follow what price is doing.
- We will observe two types of bars:
 - Hammer
 - Inverted hammer
 - Engulfing candle (wide-range bar)
- However, we will observe the bars on the background of a normal-variation and trend days (from Market Profile)
 - ✈ *Instead of using just price action, we will set the context of an NV or a trend day before picking up the trade.*

Price action – moving averages

- Moving averages (MAs) tag price along a given number of bars in the past.
- For example, for a 20-day moving average we use the past 20 bars to calculate the average.
- These can be simple or exponential or volume-weighted.
- MAs are used to see how the trend is behaving.
- We will use two important MAs:
 - 200-dMA on 5-minute timeframe.
 - 50-dMA on 60-minute (hourly) timeframe.
- Before using the MAs, always set the context using Market Profile and Volume Profile
 - 🚀 *Always look for zones where there is an edge!*



Using the 80% rule

- Price opens above or below the previous day's value area.
- Then it gets into the value area for two consecutive half hour periods.
- In such situations, the price has an 80% of chance of filling the previous day's value area.

My signature setups – open drive

- An open drive is when the price opens and goes on a straight drive.
- In an open drive, price begins at one end and closes at the other end.
- An open driven indicates a day of trend and momentum.
- These are the best days to get trades with high RR (low risk, high return):
- How to trade such days?
 - Hold for the first 30-minute bar to finish off.
 - Enter when the price comes back to VWAP.
 - Enter after the break of first 30-minute bar.
- Usually such days provide trades with 1-1.5R or even 2R asymmetry.



Holding these trades until the end of the day is important. Using risk management is key on such days.

Risk management

- Risk management is an important component of trading.
- My suggested way is to follow R-multiples.
- Suppose you enter a trade with an initial risk of, say, Rs 1000, which is 1R.
- Now any loss or profit should be a multiple of this amount.
- Say, your profit from trade is Rs4,500 – then your profit is 4.5R.
- Say, your loss from the trade is Rs6,500 – then your loss is 6.5R.
 - *Every profit and loss should be measured in terms of R-multiple.*
- The holy grail of risk management is now that you should always limit your loss to 1R or max 2R depending on market conditions. But profit should be continued until 2R+. That is how you condition your risk.

Trading success

- Follow the instructions on each slide to create your presentation.
- Remember a PowerPoint is a visual for your presentation. The words on each slide should serve only as talking points (rather than everything you are going to say).
- Images and graphics add interest; be sure to add them to your slides when appropriate.
- Use the Design Ideas feature to create beautiful presentations.
 - ➦ *Go to the Design ribbon and select Design Ideas.*
- Choose Transitions and Animations carefully. (You want your audience to focus on your content, rather than your effects.)

Trading systems and software

- A trader should follow a simple methodology rather than complicating with too many tools.
- Use Amibroker and Market Profile software with our simple system.
- Amibroker can be used for observing price action and volume profiles, while Market Profile software can be used to observe the auction progress.
- A trader's success is determined by how well he observes the market, Market profile software works as a weapon to support your decision making process
 - ➡ *This is where practice during market sessions is very important.*
- Use price action to identify setups, Volume and Market Profiles to find location and order flow to time the market.

Feedback

Please provide your valuable feedback to improve our webinar offering!

1

Superb – We'll return to advanced modules!

2

Happy – But we will practice this and then return to advanced modules!

3

Market Profile is not for us!

Glossary

Terms you should know by heart

1

Anomaly

2

Auction process
(two-way)

3

Balance

Glossary

Terms you should know by heart

4

Anomaly

5

Auction process
(two-way)

6

Balance

Glossary

Terms you should know by heart

7

Anomaly

8

Auction process
(two-way)

9

Balance

Glossary

Terms you should know by heart

10

Buying tail

11

Excess

12

Gap

Glossary

Terms you should know by heart

13

Half back

14

Initial balance

15

Long liquidation

Glossary

Terms you should know by heart

16

One-time framing

17

Overnight inventory

18

Point of control (POC)

Glossary

Terms you should know by heart

19

Poor or unsecured
highs or lows

20

Pullback low/ rally high

21

Rally high/ pullback
low

Glossary

Terms you should know by heart

22

Range extension

23

Selling tail

24

Short covering

Glossary

Terms you should know by heart

25

Spike

26

TPO

27

Value area

Jay's quotes

Pro-tips



If you 'cannot' make money with \$100 what in the world makes you think you 'can' with \$100,000. It will ONLY be 1,000 times worse.



Those who think they know the most really know the least. Humble and objective traders beat arrogant and closed-minded ones.



Poor money-management with a great trading idea is just as bad as a terrible trading idea with no money management - both will lose.



Trade idea



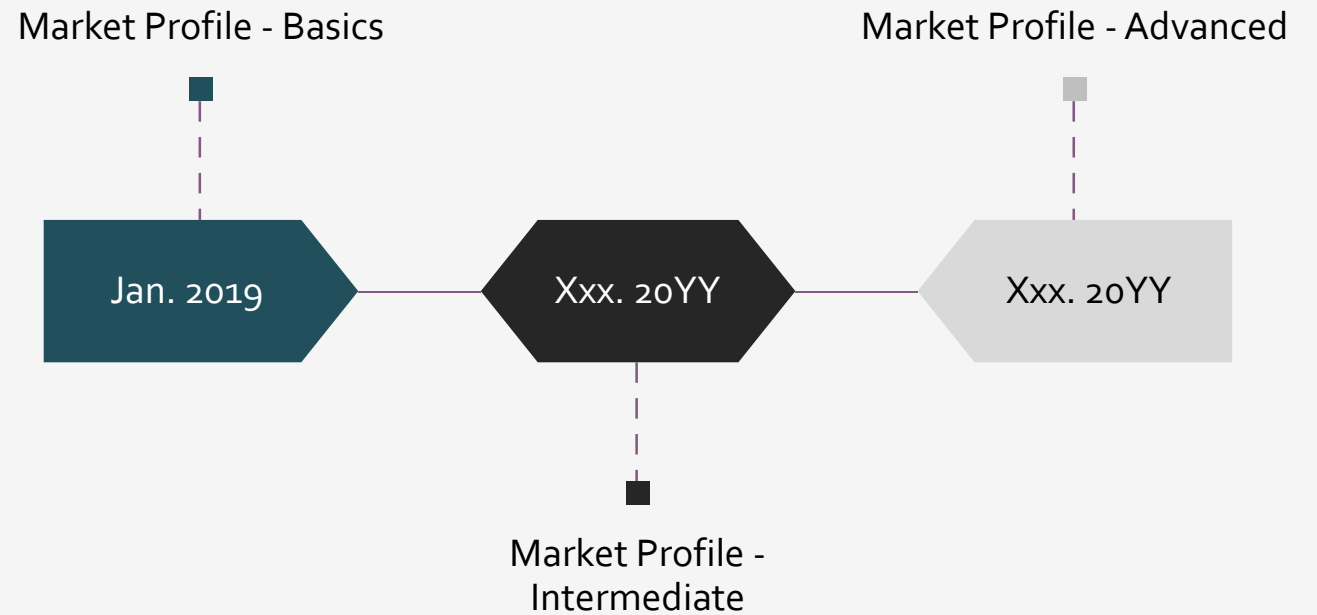
Risk management



Money management

Thanks

Our path for future modules!



Services offered

Training, mentoring, brokerage



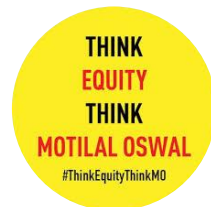
Hand holding
(Coming soon)



Trading room
(Coming soon)



Live workshop
(Dates will be announced)



Reputed broker,
nominal charges



Live webinars



Updates on
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